

Money, Banking, and Inflation

Money is one of humanity's most important inventions. Before money existed, people traded goods and services directly, a system called barter. Barter has a fundamental weakness known as the double coincidence of wants: to make a trade, each person must have exactly what the other wants at exactly the right time. Money solves this problem by serving as a universally accepted medium of exchange.

The Functions of Money

Economists describe money as serving three main functions. First, it is a medium of exchange, accepted in trade for goods and services. Second, it is a unit of account, a common measuring stick that lets us compare the value of very different things. Third, it is a store of value, a way to hold wealth over time. A good form of money performs all three functions reasonably well. Historically, societies have used shells, cattle, salt, gold, and paper as money.

Commodity Money and Fiat Money

There are two broad types of money. Commodity money has value in itself, apart from its use as money; gold and silver coins are classic examples. Fiat money, by contrast, has no intrinsic value and is not backed by a physical commodity. Its value comes entirely from government decree and from public confidence that others will accept it. Nearly all modern currency is fiat money. The word fiat is Latin for "let it be done."

How Banks Create Money

Banks do far more than store deposits. When you deposit money in a bank, the bank keeps only a fraction in reserve and lends out the rest. The borrower then spends that money, which is deposited in another bank, which again lends out a portion. Through this cycle, the banking system as a whole creates far more money than was originally deposited. This process is called fractional reserve banking, and it is the primary way that new money enters a modern economy.

Central Banks

At the center of a nation's monetary system sits the central bank, such as the Federal Reserve in the United States. The central bank is responsible for managing the money supply and keeping the economy stable. It has several tools for doing so. It can raise or lower interest rates, buy or sell government bonds, and adjust the reserves that

commercial banks are required to hold. By making borrowing cheaper or more expensive, the central bank influences how much money flows through the economy.

What Is Inflation?

Inflation is a general rise in the overall level of prices over time. When inflation occurs, each unit of money buys fewer goods and services than before; in other words, the purchasing power of money falls. A small, steady amount of inflation is considered normal and even healthy for an economy. Rapid or unpredictable inflation, however, is deeply damaging, because it erodes savings and makes planning for the future difficult.

The Causes of Inflation

Economists identify two main causes of inflation. Demand-pull inflation occurs when the total demand for goods and services grows faster than the economy can produce them; too much money chases too few goods, and prices rise. Cost-push inflation occurs when the cost of producing goods increases, for example when the price of oil rises sharply, and producers pass those costs on to consumers. Both forces can operate at the same time.

Hyperinflation

In extreme cases, inflation can spiral out of control into hyperinflation, where prices rise so fast that money becomes nearly worthless. Germany in the 1920s and Zimbabwe in the 2000s both experienced hyperinflation so severe that people carried cash in wheelbarrows and prices doubled within days. Hyperinflation almost always stems from a government printing enormous quantities of money to cover its debts, destroying public confidence in the currency.

Controlling Inflation

Central banks fight inflation primarily by raising interest rates. Higher rates make borrowing more expensive and saving more attractive, which reduces spending and slows the rise in prices. This medicine has side effects: raising rates too aggressively can slow the economy so much that it triggers a recession and rising unemployment. Managing this trade-off between inflation and employment is one of the central challenges of economic policy.